General Assembly

Raised Bill No. 5471

February Session, 2026

LCO No. **2493**

Referred to Committee on ENERGY AND TECHNOLOGY

Introduced by:
(ET)

AN ACT CONCERNING COMMUNITY RENEWABLE GENERATION SOURCES AND ENERGY STORAGE SYSTEMS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

Section 1. (NEW) (*Effective October 1, 2026*) (a) As used in this section and section 2 of this act:

(1) "Authority" means the Public Utilities Regulatory Authority;

(2) "Baseline annual usage" means (A) a subscriber's accumulated electricity use in kilowatt-hours for the twelve months immediately preceding the subscriber's most recent subscription, or (B) for a subscriber that does not have a record of twelve months of electricity use at the time of the subscriber's most recent subscription, an estimate of the subscriber's accumulated twelve months of electricity use in kilowatt-hours, determined in a manner approved by the authority;

(3) "Certificates" means certificates issued by the New England Power Pool Generation Information System;

(4) "Class I renewable energy source" has the same meaning as

provided in section 16-1 of the general statutes;

(5) "Community renewable energy generating system" means a solar photovoltaic electricity generating system, or an energy storage system, including an energy storage system connected to a solar photovoltaic electricity generating system, that either (A) stores energy generated by a Class I renewable energy source, or (B) purchases and retires certificates produced by a wind or solar electricity generating source located in the United States in an amount equivalent to all energy dispatched by such energy storage system that (i) is located in the state or in the territory of the regional independent system operator, (ii) is connected to the electric meter of a subscriber or is a separate facility, (iii) credits its generated or discharged electricity, or the value of its generated or discharged electricity, to the bills of the subscribers through virtual net energy metering, (iv) has at least two subscribers, (v) does not have individual subscriptions constituting more than sixty per cent of its subscriptions, and (vi) may be owned by any person or entity that is not an electric distribution company;

(6) "Electric distribution company" has the same meaning as provided in section 16-1 of the general statutes;

(7) "Electric supplier" has the same meaning as provided in section 16-1 of the general statutes;

(8) "Energy storage system" has the same meaning as provided in section 16-1 of the general statutes;

(9) "Program" means the community renewable energy generating system program;

(10) "Regional independent system operator" has the same meaning as provided in section 16-1 of the general statutes;

(11) "Retail rate" means eighty per cent of the total cost per kilowatt-hour paid by an electric customer, based on such customer's rate class.

"Retail rate" includes, but is not limited to, charges for generation, transmission and distribution of electricity and other applicable economic costs;

(12) "Subscriber" means a retail customer of an electric distribution company that (A) holds a subscription to a community renewable energy generating system, and (B) has identified one or more individual electric meters or accounts to which the subscription shall be attributed;

(13) "Subscriber organization" means a person or entity that (A) owns or operates a community renewable energy generating system, or (B) markets subscriptions to potential subscribers;

(14) "Subscription" means the portion of the electricity generated by a community renewable energy generating system that is credited to a subscriber;

(15) "Unsubscribed energy" means any community renewable energy generating system output in kilowatt-hours that is not allocated to any subscriber; and

(16) "Virtual net energy metering" means measurement of the difference between the kilowatt-hours or value of electricity that is supplied by an electric distribution company and the kilowatt-hours or value of electricity attributable to a subscription to a community renewable energy generating system and fed into the electric grid over a subscriber's billing period.

(b) On or before August 1, 2026, the Public Utilities Regulatory Authority shall initiate a proceeding to establish a community renewable energy generating system program. The authority shall issue a final decision in the proceeding not later than December 1, 2026. The program shall have a duration of three years commencing from the date such decision is issued and shall comply with the following:

(1) Any electric customer, regardless of such customer's rate class,

shall be eligible to participate in the program. The program shall be structured such that subscribers to a community renewable energy generating system shall pay electricity costs lower than electric customers who receive standard service pursuant to section 16-244c of the general statutes;

(2) Subscribers receiving standard service, as described in section 16-244c of the general statutes, and subscribers served by an electric supplier may hold subscriptions to the same community renewable energy generating system;

(3) A subscriber organization shall (A) determine how to allocate subscriptions to subscribers, and (B) notify each electric distribution company or electric supplier that provides services to its subscribers about such allocations pursuant to regulations adopted by the authority under subsection (c) of this section;

(4) An electric distribution company shall use the tariff structure adopted under subsection (c) of this section to provide each subscriber with the credits calculated by a subscriber organization;

(5) A subscriber may not receive credit for excess generation pursuant to virtual net energy metering that exceeds two hundred per cent of the subscriber's baseline annual usage;

(6) Each subscriber organization shall establish a host bank program to account for any unsubscribed or overproduced energy generated by the system or unsubscribed energy dispatched by a community renewable generating system in kilowatt-hours. A subscriber organization may monetize any such unsubscribed or overproduced energy or dispatch through such host bank program at the rates established pursuant to this section when a subscriber contracts to utilize such energy. Any dispatch of energy from a community renewable generating system under this section shall be eligible, on a monthly basis, for any incentive authorized under this section. The accounting records of each such host bank program shall be maintained

by the subscriber organization and be made available by the subscriber organization to the Public Utilities Regulatory Authority upon request;

(7) An electric distribution company shall offer a subscriber organization the option to utilize a consolidated billing system whereby the electric distribution company administers billing credits or charges for subscribers concerning the operations of the community renewable energy generating system. Each electric distribution company shall develop and make available to any subscriber organization such consolidated billing system not later than January 1, 2027. After January 1, 2027, an electric distribution company that has not developed and made available such system shall provide a monthly billing credit in an amount determined by the authority, provided such credit shall be in an amount of not less than twenty-five dollars each month for each subscriber that the electric distribution company fails to develop and make available such system as required by this subdivision;

(8) An electric distribution company shall use energy generated by a community renewable energy generating system and delivered to the electric distribution company to offset purchases from wholesale electricity suppliers for the provision of standard service to customers of the electric distribution company. All benefits or costs associated with the program established pursuant to this section shall be recovered through the generation services charge on customer electric bills. An electric distribution company shall facilitate a subscriber organization's compliance with the provisions of this section, including by agreeing to receive electricity from a subscriber organization as provided in this section;

(9) A subscriber organization may contract with a third party for the financing, construction, ownership, operation or electricity delivery of a community renewable energy generating system;

(10) A municipal electric utility or cooperative utility may participate in the program;

(11) The authority shall limit the program participation to a total nameplate capacity rating of six hundred megawatts each year of the program;

(12) (A) Except as provided in subparagraph (B) of this subdivision, each community renewable energy generating system participating in the program pursuant to this section shall incorporate an energy storage system that shall (i) have a rated power capacity greater than or equal to twenty-five per cent of the nameplate capacity of the associated community renewable energy generating system, as measured in kilowatts; and (ii) provide a minimum storage duration of two hours at such system's rated power capacity;

(B) The requirement that an energy storage system be installed in connection with a community renewable energy generating system participating in the program pursuant to this section shall not apply if (i) the electric distribution company does not provide interconnection approval for both the community renewable energy generating system and the energy storage system not later than ninety days after the submission of a completed application pursuant to this section, or (ii) the electric distribution company requires the subscriber organization to pay for infrastructure upgrades as a condition of interconnection approval;

(C) An energy storage system operated in combination with an associated solar photovoltaic electricity generating system under the program may be located either on the same site as the associated solar photovoltaic electricity generating system, or at a separate location within the area served by the regional independent system operator;

(D) An energy storage system participating in the program pursuant to this section shall be entitled to the community renewable energy storage incentive pursuant to subdivision (13) of this subsection;

(13) To encourage the adoption of energy storage systems in connection with the development of solar photovoltaic electricity

generating systems pursuant to the program, the authority shall design an incentive for the output of an energy storage system associated with a solar photovoltaic system pursuant to this section. The incentive developed pursuant to this subdivision shall apply to community renewable energy systems with a connected energy storage system that is configured to (A) discharge electricity during system periods of peak demand, as defined by the authority, and (B) dispatch electricity not less than fifty-two times per year during such peak periods. Such incentive shall be paid by the electric distribution company at a rate of five cents per kilowatt-hour of discharged energy from a community renewable energy generating system pursuant to this section. The incentive provided in this section shall be in addition to any other applicable incentives or programs for which a battery storage system may qualify; and

(14) An owner of a community renewable energy generating system with an energy storage system component may determine, on an annual basis, to operate the energy storage system at times specified by such owner, provided such owner shall not (A) receive an incentive for the dispatch of energy from such system pursuant to subdivision (13) of this subsection during any period for which such system is not operational, or (B) be deemed in default of any agreement concerning the use of such system entered into pursuant to this section by reason of such specified period that such system is not operational. Nothing in this section shall be interpreted to prohibit such owner from contracting with a third party to manage the operation of, or the administration of any programs related to, such an energy storage system.

(c) Not later than January 1, 2027, the authority shall adopt regulations, in accordance with the provisions of chapter 54 of the general statutes, to implement the provisions of this section, including regulations establishing (1) electric consumer protections, (2) a tariff structure for a subscriber organization or an electric distribution company to provide a subscriber with the kilowatt–hours or value of the subscriber's subscription at the retail rate for electricity in the state, (3) a method for crediting subscriber electric bills based on virtual net energy metering, (4) a protocol for electric distribution companies, electric suppliers and subscriber organizations to communicate the information necessary to calculate and provide monthly electric bill credits and any yearly net excess generation payments required by this section, and (5) a protocol for a subscriber organization to coordinate with an electric distribution company for a community renewable energy generating system.

(d) No contract relating to a community renewable energy generating system, energy storage system or subscriber agreement executed in connection with the program shall be terminated or made unenforceable solely due to the termination of the program unless such termination or unenforceability is a provision of such contract.

(e) If the program established pursuant to this section terminates, (1) a subscriber organization may continue the operation of a community renewable energy generating system or energy storage system that participated in the program, including the creation and trading of subscriptions, and (2) each electric distribution company shall continue to facilitate the operation of a community renewable energy generating system or energy storage system that began operation during the program in accordance with the program requirements and regulations adopted by the authority pursuant to subsection (c) of this section for a period of twenty years or the useful life of the system, whichever duration is greater.

(f) A subscriber organization may post content on the Internet web site of the Energy Conservation Management Board, established pursuant to section 16-245m of the general statutes, to inform customers of an electric distribution company of potential offers and subscriptions provided by such organization, including offers or subscriptions that may be used by such customers in combination with electric supply offers from other sources. Each electric distribution company shall place a monthly message on each customer electric bill informing such customer how to subscribe to a community renewable energy generating system or energy storage system and information concerning offers on the Energy Conservation Management Board Internet web site during the program.

Sec. 2. (*Effective October 1, 2026*) (a) There is established a working group within the Public Utilities Regulatory Authority to study the value and costs of the program established pursuant to section 1 of this act and make recommendations on the advisability of establishing a permanent program. Such working group shall consist of (1) the chairperson of the Public Utilities Regulatory Authority, or the chairperson's designee, (2) the Commissioner of Energy and Environmental Protection, or the commissioner's designee, (3) the Consumer Counsel, or the counsel's designee, and (4) any other persons the chairperson of the Public Utilities Regulatory Authority believes may serve to accomplish the purpose of the working group.

(b) All initial appointments to the working group shall be made not later than July 1, 2027. Any vacancy shall be filled by the chairperson of the Public Utilities Regulatory Authority. The chairperson of the Public Utilities Regulatory Authority shall serve as chairperson of the working group and shall schedule the first meeting of the working group, which shall be held not later than October 1, 2027.

(c) In conducting the study pursuant to this section, the working group shall identify and examine (1) a framework for valuation of the costs and benefits related to community renewable projects and virtual net energy metering, (2) the costs and benefits of community renewable energy generating systems to participating subscribers and to nonsubscriber ratepayers, (3) an appropriate credit mechanism and operational structure that allows a community renewable energy generating system to minimize administrative costs to an electric distribution company, electric supplier or subscriber organization, (4) the benefits to and the technical and cost impacts of community renewable programs and virtual net energy metering on an electric distribution company's distribution grid, (5) issues, benefits and concerns related to the participation of electric distribution companies, including investor-owned utilities, in community renewable programs and projects, including owners and operators of the projects, (6) whether and how community renewable projects or virtual net energy metering have a substantially different technical impact on the distribution system than traditional net energy metering, (7) identification of any impacts the program may have on the standard offer service procurement process by the electric distribution companies, (8) a review of community renewable programs and cost-benefit studies in other states, (9) whether and how community renewable programs can help reduce the cost of compliance with the renewable energy portfolio standards established pursuant to section 16-243q of the general statutes, (10) how community renewable energy generating systems can impact locational marginal prices in the state, (11) the impacts of the program on energy costs, electric grid reliability and equitable cost allocation for ratepayers, (12) how community renewable project developers can increase participation by low and moderate-income retail electric customers in community renewable projects, (13) the progress of the program established pursuant to section 1 of this act in attracting low and moderate-income retail electric customers, (14) whether community renewable energy generating and storage systems are an overall net benefit in helping the state achieve its distributed generation and renewable goals, and (15) any other matters the working group considers relevant and appropriate.

(d) Not later than January 1, 2029, the chairperson of the Public Utilities Regulatory Authority shall submit a report, in accordance with the provisions of section 11-4a of the general statutes, to the joint standing committee of the General Assembly having cognizance of matters relating to energy and technology. Such report shall include an analysis of the factors identified in subsection (c) of this section. The working group shall terminate on the date that it submits such report or January 1, 2029, whichever is later.

Sec. 3. (NEW) (*Effective October 1, 2026*) (a) On and after October 1, 2027, an electric supplier may offer to any customer of an electric distribution company a contract for a guaranteed savings plan. The purpose of any such plan shall be to guarantee a customer a lower electric rate compared to standard service provided by an electric distribution company as described in section 16-244c of the general statutes. Any such contract shall (1) provide annual savings to customers compared to the standard service generation rate, (2) allow the electric supplier to select a customer's generation service provider, including standard service, on billing cycles during the agreement, and (3) allow the electric supplier to alter the price of generation rates, provided such rates are lower than the current standard service rates, up to three days prior to a billing cycle. An electric supplier may comply with the savings requirements imposed on contracts entered into pursuant to this section through reduced electric generation rates, billing credits on customer electric bills provided through a billing system maintained by an electric distribution company or other methods of monetary transfer that benefit a customer of such supplier.

(b) No contract entered into pursuant to subsection (a) of this section shall contain any provision imposing a termination fee on a residential customer. Nothing in this section shall be construed to limit the maximum or minimum duration of any such contract.

(c) Any electric supplier, or an electric supplier's agent, may submit content to be posted on the Internet web site of the Energy Conservation Management Board, established pursuant to section 16-245m of the general statutes, to inform customers of the availability of guaranteed savings plans. Any such posting shall allow the listing to direct consumers to the Internet web site of the supplier, or the agent, to review available offers from one or multiple electric suppliers or subscriber organizations.

This act shall take effect as follows and shall amend the following sections:		
Section 1	*October 1, 2026*	New section
Sec. 2	*October 1, 2026*	New section
Sec. 3	*October 1, 2026*	New section

Statement of Purpose:

To (1) allow shared clean energy subscriber organizations to build, own and operate electrical generation or storage facilities that generate or store electricity from renewable sources, (2) allow any end user of an electric distribution company to enter into a subscription with a shared clean energy subscriber organization, (3) require any electric distribution company to provide billing credits to any end user who enters into such a subscription, (4) establish a working group to study the impacts of the community renewable energy generating system program, and (5) allow electric suppliers to offer guaranteed savings plans.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]